

# AEC Study Materials

## *The Three-Layer Trading Framework — With Examples*

Prepared for Issac · Foundation Mentorship Program

This guide walks through the three core layers of AEC's trading approach with illustrative diagrams and worked examples. The charts below are simplified, illustrative examples built to demonstrate the concept clearly — not live market data or a specific trade recommendation. This document is educational and intended to build your own understanding and judgment. It is not a signal service, and it does not guarantee any outcome.

### LAYER I — THE MOMENTUM ENGINE

Momentum is the idea that price tends to continue moving in the direction it's already moving until something meaningful interrupts it. This layer is about identifying which direction the dominant flow of a market is currently pointing, and refusing to trade against it.

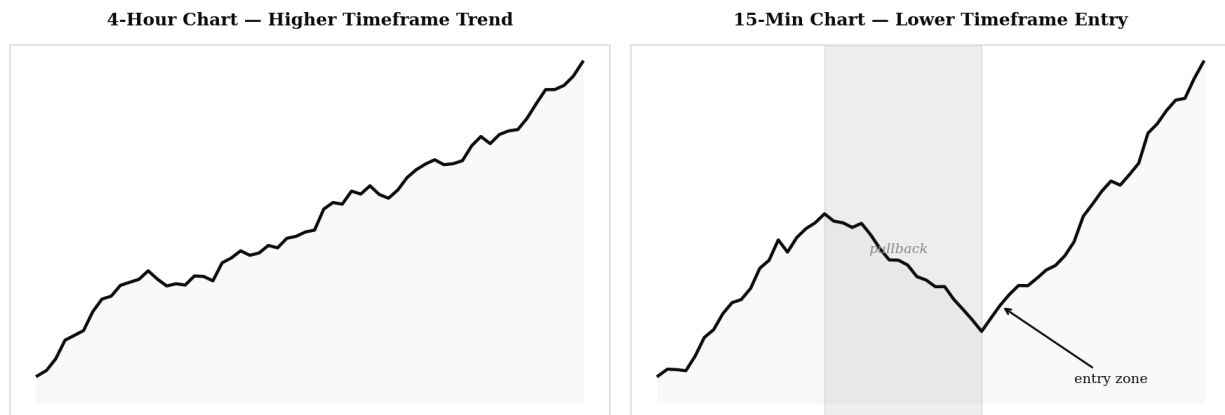


Figure 1 — Illustrative example of timeframe alignment. The 4-hour chart establishes the higher timeframe trend direction. The 15-minute chart shows a pullback within that same uptrend, followed by continuation. The idea is to look for entries on the lower timeframe only when it agrees with the direction already established on the higher timeframe.

#### Worked example

Say the 4-hour chart shows NAS100 in a clear uptrend — higher highs, higher lows, no structural break. You then drop to the 15-minute chart and see price pull back toward a prior support level before turning back upward. Because the lower timeframe pullback is happening *within* the higher timeframe uptrend, this is a higher-conviction setup than if you saw the same 15-minute pattern during a 4-hour downtrend, where you'd effectively be fighting the dominant flow.

### LAYER II — Z-SCORE STANDARD DEVIATION

A Z-score measures how far current price is from its recent statistical average, expressed in standard deviations. It helps answer: is price unusually far from where it's “normally” been trading, or is it sitting close to its average?

### Z-Score Standard Deviation — Identifying Extended Price

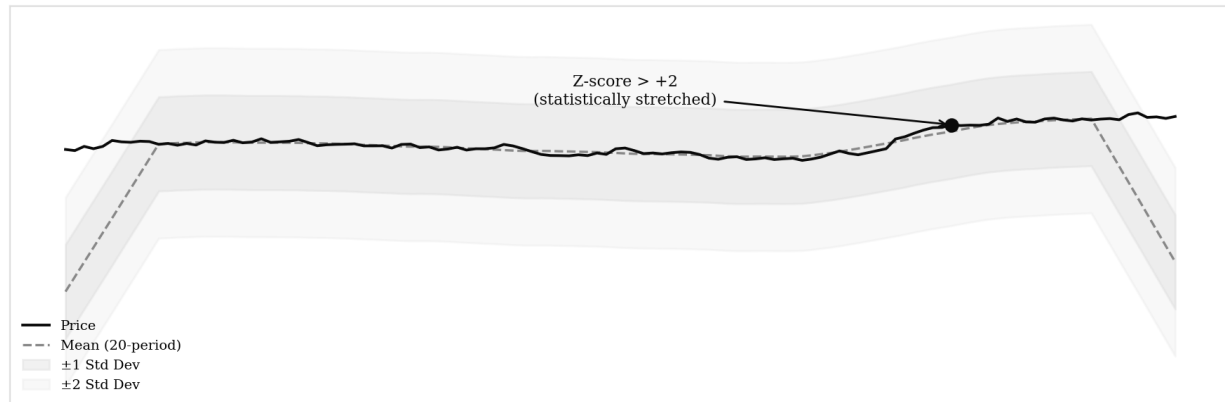


Figure 2 — Illustrative price series with a rolling mean and standard deviation bands. When price pushes outside the outer band (roughly 2 standard deviations from the mean), it is statistically “stretched.” That doesn’t mean an automatic reversal — in a strong trend, price can stay stretched for a long time — but it is useful context to weigh against what Layer I is showing.

### Worked example

Say Layer I shows a clear uptrend, but the Z-score reading on the current push is above +2 — price has moved unusually far from its 20-period average very quickly. This doesn’t necessarily mean “sell.” It means: be cautious about chasing a fresh long entry *right now*, since the move is statistically extended. A more disciplined approach would be to wait for either a pullback toward the mean, or for the Z-score to cool off, before looking for the next entry in the direction Layer I already confirmed.

LAYER III — DOM & ORDER FLOW

DOM (Depth of Market) is a live view of resting buy and sell orders at different price levels. Order flow is the study of how those orders are actually being filled in real time. This is a more granular, tape-reading level of analysis than a candlestick chart alone.

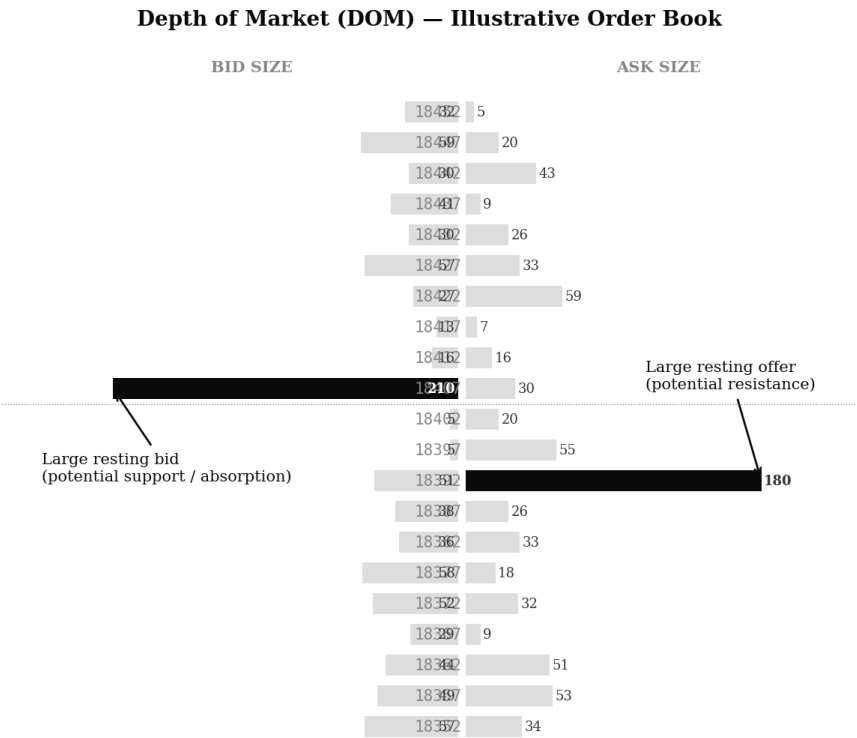


Figure 3 — Illustrative order book (DOM). Each row represents a price level; the bars show resting order size on the bid (left) and ask (right) sides. A disproportionately large resting order at one level — shown here in black — can act as a temporary zone of support or resistance, since a large amount of size has to be absorbed before price can move through that level.

Worked example

Continuing the same scenario: Layer I confirms the uptrend, Layer II tells you price is currently stretched and better to wait, and now you're watching the DOM for the actual pullback to unfold. You notice a large resting bid several ticks below current price. As price pulls back toward it and that large bid continues to absorb selling pressure without breaking, that's a more precise, order-flow-confirmed signal that buyers are stepping back in — a more informed entry than simply guessing where the pullback might end based on a candlestick chart alone.

PUTTING IT ALL TOGETHER

|               |                                                                                                 |
|---------------|-------------------------------------------------------------------------------------------------|
| 1. Momentum   | Confirm the dominant direction across multiple timeframes. Trade with it, not against it.       |
| 2. Z-Score    | Check whether price is statistically stretched. Use as context to avoid chasing extended moves. |
| 3. Order Flow | Use the DOM to time entry precisely once direction and context are established.                 |

## A NOTE ON RISK

Every concept and example in this guide is a tool for building judgment, not a guarantee of any outcome. The charts above are simplified and illustrative — real markets are noisier and less clean than any diagram. All trading involves substantial risk of loss, including the potential loss of your full account balance. We will cover risk management and position sizing in detail in your sessions — it is the foundation everything else in this program is built on.

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*This material is provided as part of AEC's Foundation mentorship program for educational purposes only and does not constitute investment advice. Charts shown are illustrative examples, not live market data or trade recommendations. Past performance is not indicative of future results. All trading involves risk of loss.*

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